

Fearnleys Dry Bulk Weekly

Nov 6, 2024

Bernhard Baardson

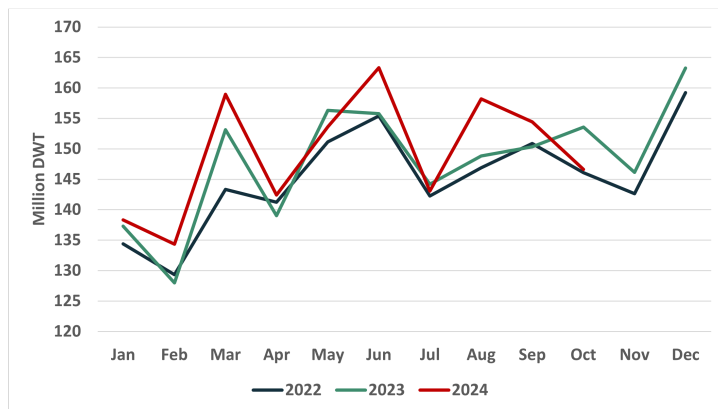
Capesize/Newcastlemax

Last week, we suggested that a bottoming process might have begun, which seems to be the case. We also opined that the next eventual rally will likely peak at lower levels than the previous peak in late September, as underlying fundamentals have weakened.

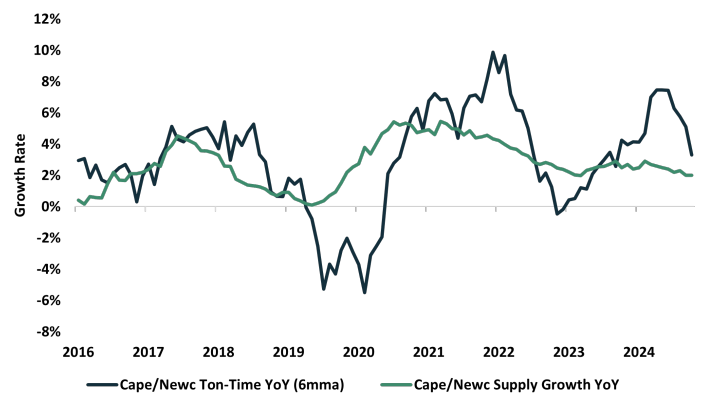
The 6 months moving average of ton-time growth has dropped from 7% in June to 3% in October, primarily because volume growth was negative in October.

We do not see much chance of an imminent turn-around of the fundamental situation, as regardless of whether the recent stimulus measures in China will succeed, there is always a lag before it impacts dry bulk markets. China's iron ore port inventories are around the highest levels seen in the last 10 years, whereas blast furnace output is 3% lower than the same period last year.

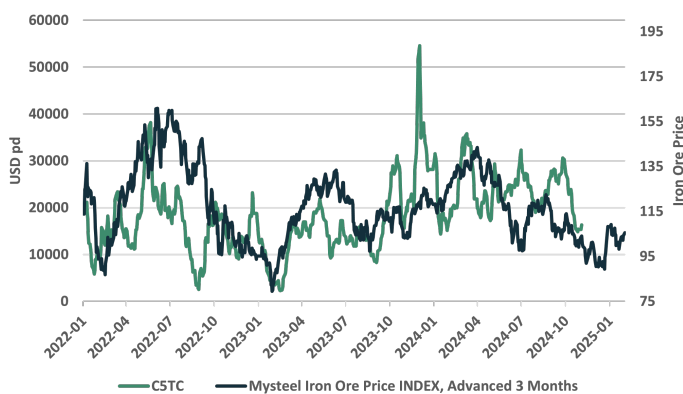
Capesize/Newcastlemax Total Loadings by Year



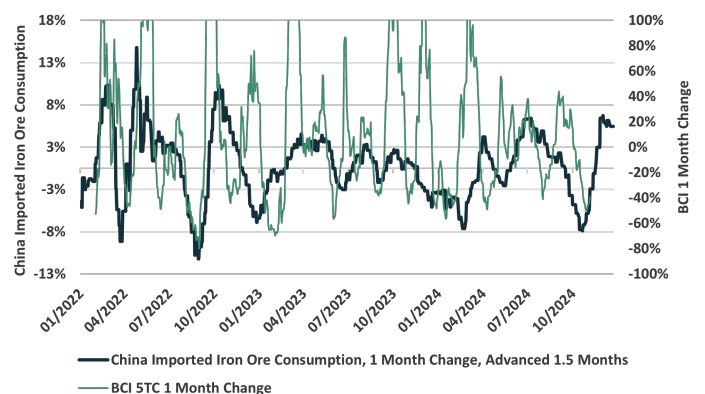
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC



Panamax/Kamsarmax

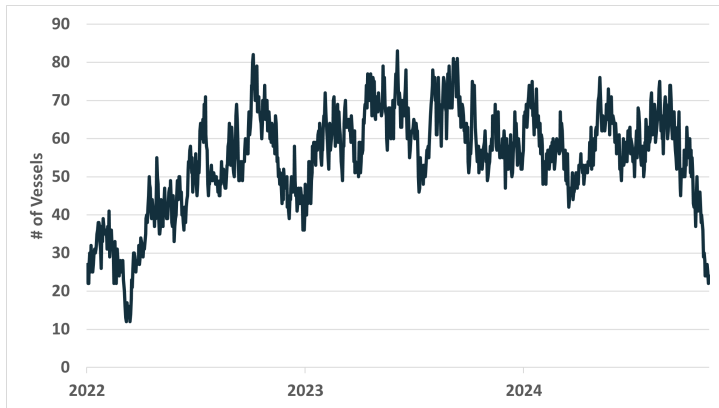
Total volumes out of the US and Brazil are lower year-on-year, along with much lower congestion in Brazil than last year. The bottom left chart shows the count of vessels heading to Brazil or the US, which since the middle of this year have been the main factor weighing on the markets.

Along with that, West of Suez Russian exports have dropped significantly in the last weeks, with the count of vessels heading there the lowest since March 2022.

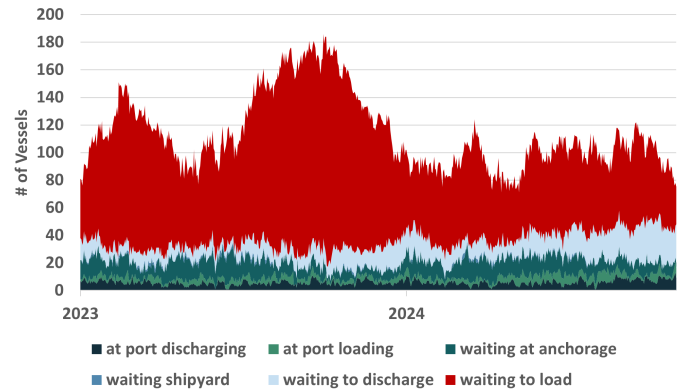
The latter factor might turn in a few weeks, which along with a seasonal upturn in Asian coal demand could result in a market bounce.

On the grain side, Soybean conditions are exceptional or favorable in both the US and Brazil, which might not have an imminent impact but could mean Q1 next year is priced too low.

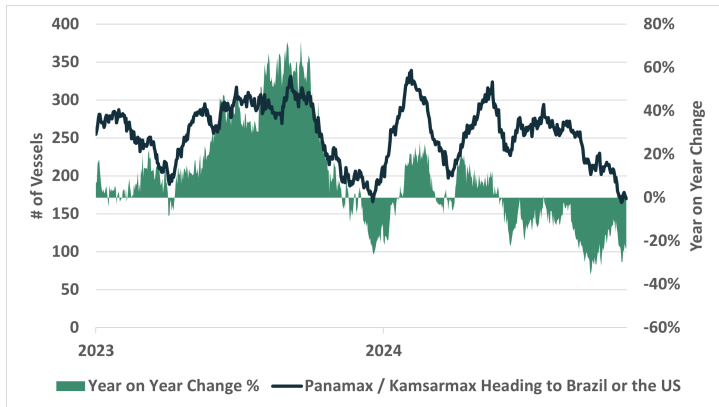
Panamax / Kamsarmax Heading to Russia



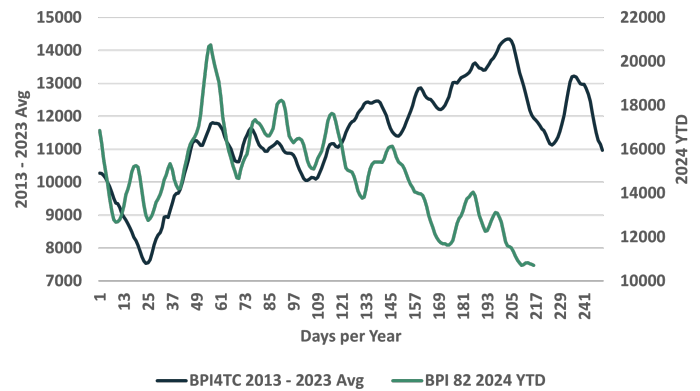
Panamax / Kamsarmax Argentina and Brazil Congestion



Panamax / Kamsarmax Heading to Brazil or the US, and % YoY Change



Panamax / Kamsarmax Seasonal Average



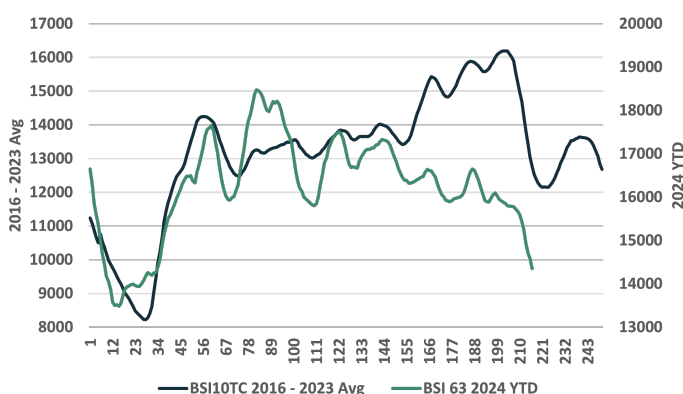
Supramax/Ultramax

Like in the Panamax segment, the lower grain volumes out of Brazil and US have been a major factor behind the market weakness. The count of vessels sailing to either of those countries is the lowest in over 3 years.

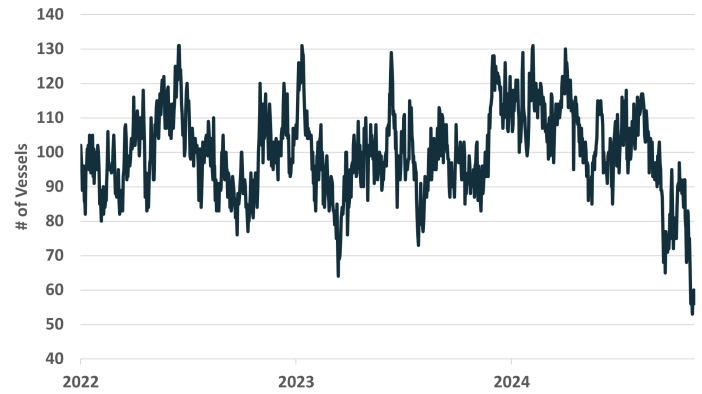
Otherwise, fundamentals have clearly worsened in the last couple of months, with ton-time growth dropping from 11% in February to 5% in October.

There could be a rebound in a week or two due to increased coal demand in Asia, but as of now it seems like the next couple of months will average lower than the same period last year.

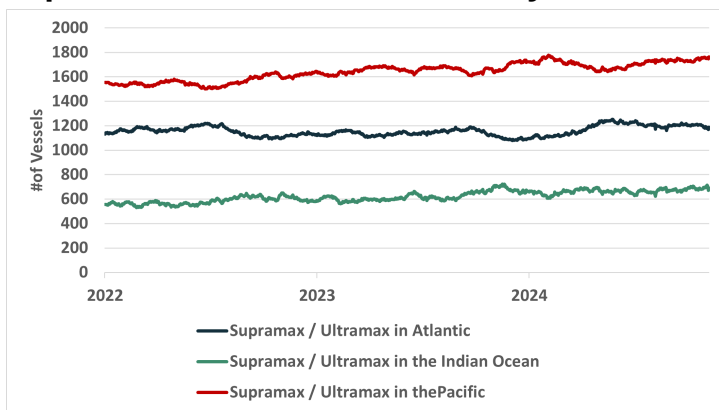
Supramax Seasonal Market Movement



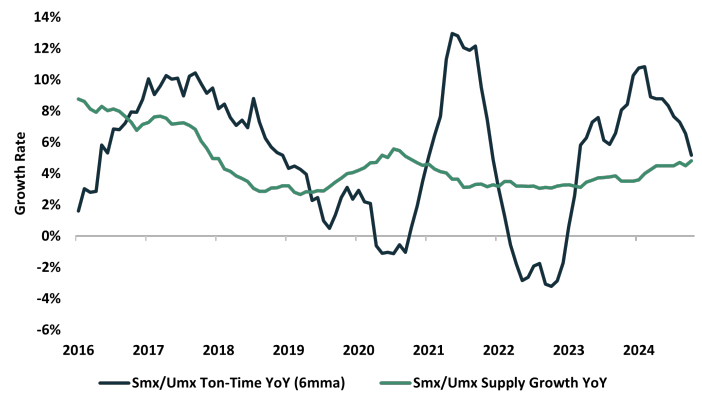
Supramax / Ultramax Heading to Brazil or the US



Supramax / Ultramax Positions by Basin



Supramax / Ultramax Ton-Time Growth vs Supply Growth





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